

Harvinder Motors v. BSES Rajdhani Power Ltd.

AIR 2007 Delhi 85; (2006) 135 DLT 198

High Court of Delhi (HC-SB) | 2006-11-17 | Bench: S. Ravindra Bhat J (1) | IK doc 909057 | HC-008 | schema 1.0

Under Section 126 and the DERC Regulations, a case of 'dishonest abstraction of energy' cannot be booked on a missing/tampered seal or broken glass alone unless corroborated by the consumption pattern (no action if consumption exceeds ~75% of assessed), and the show-cause notice must precisely disclose the grounds relied on — failing which the assessment is set aside for breach of natural justice.

GOOD-LAW as of 2026-07 · provision-version OK: False

natural justice: good-law on the notice-specificity and hearing requirements.

burden of proof: good-law on the consumption-pattern corroboration precondition.

Not overruled. It applies the PRE-2007 Section 126 text (1.5× and 3/6-month presumption), later amended to 2× and a 12-month presumption — so do not cite it for the multiplier/period. The natural-justice and corroboration ratios are unaffected by the amendment.

FACTS & PROFILE

On inspection (29/08/2006) BSES found connected load 64.5 KW against 44 KW sanctioned, with tampered plastic/meter seals and scratches on the CT box; it issued a same-day show-cause notice and a bill of Rs 26,61,507 for DAE. The consumer challenged by writ, arguing seal irregularity alone could not prove DAE and that the consumption-pattern basis (alleged two-shift use) was never disclosed to him.

Procedural posture	Writ petition under Article 226 of the Constitution
Outcome for	consumer
Relief granted	Show-cause notice / bill process set aside; remitted for a fresh notice disclosing grounds, hearing, and speaking order.
Consumer category	industrial/commercial
Fact-pattern	tampered/missing-seal, scratches-on-CT-box, excess-load, alleged-DAE-without-corroboration
State	Delhi (NCT)
DISCOM / party	BSES Rajdhani Power Ltd.
Statutory version	pre-2007 — the judgment reproduces Section 126(6) 'one-and-half times' and the 3/6-month presumption in Section 126(5), i.e. the text before Act 26 of 2007 (in force 15 June 2007)

Disposition: Writ petition allowed; BSES directed to issue a fresh notice disclosing all grounds (including the consumption pattern), grant a reasonable hearing, and pass a speaking order; a fresh bill may issue on the outcome.

ISSUES FRAMED

INTERPRETATION OF THE ELECTRICITY ACT

Provisions construed: s.126 (incl. 126(3),(5),(6)), DERC Regulations 2002, Reg. 25 & 26

An assessment for unauthorised use / DAE must be preceded by inspection and a reasonable hearing; the licensee is bound by the principles of natural justice (Section 126(3) read with Reg. 25(viii)).

“The licensee is obliged to follow principles of natural justice, and grant reasonable hearing”

— para 11

s.126 ratio pre-2007 precondition-corroboration

burden of proof

natural justice

A suspicion of unauthorised use / DAE must be corroborated by the consumer's consumption pattern; that corroboration is a precondition to the exercise of assessment jurisdiction, and where consumption exceeds ~75% of the assessed figure no action can be taken. A missing seal or broken glass alone will not do.

“The object of obliging the assessing authority to ensure that consumption pattern, corroborates the suspicion of unauthorized use/ DAE, is a precondition for exercise of jurisdiction; if the consumption is more than 75% of the load, no action can be taken.”

— para 12

s.126(3) ratio pre-2007 notice-specificity

natural justice

The show-cause notice must precisely and unambiguously state the allegations on which action is proposed; a notice that keeps the real basis (here, the consumption-pattern / two-shift-use finding) from the consumer fails the standard of fairness.

“Notice is not a ritualistic formality; the person requiring to show cause has to be precisely informed, may be briefly, the allegations upon which action is proposed.”

— para 14

REGULATIONS / SUPPLY CODE CONSTRUED

- **DERC (Performance Standards Metering and Billing) Regulations, 2002, Reg. 25 (booking a case for pilferage/DAE)** — implements s.126 procedure (made under Electricity Act, 2003)
- **DERC Regulations, 2002, Reg. 26 (personal hearing; consumption-pattern threshold)** — implements s.126 procedure (made under Electricity Act, 2003)

AUTHORITIES CITED

Prakash Kumar v. State of Gujarat (referred) · Supreme Court

referred

Cited for: Stringent / penal statutes are to be strictly and purposively construed so that the legislative object is not frustrated.

“The more stringent the law, the less is the discretion of the Court.”

— as quoted in the judgment

Food Corporation of India v. State AIR 2001 SC 250 · Supreme Court

referred

Cited for: Natural justice requires that a person be given precise and adequate notice of the case to be met.

Canara Bank v. Debasish Das (referred) · Supreme Court

referred

Cited for: To the same effect on the requirement of a precise, adequate show-cause notice.

RATIO & WHAT WAS DECIDED

natural justice

HC-SB (Delhi)

applies

In a Section 126 unauthorised-use / DAE proceeding the show-cause notice must precisely disclose the grounds — including the consumption-pattern basis relied on — and the licensee must grant a real hearing; a demand founded on seal/glass irregularities without that disclosure or corroboration is set aside and remitted.

burden of proof

HC-SB (Delhi)

settles

Corroboration of suspected unauthorised use / DAE by the consumer's consumption pattern (Reg. 26(ii)) is a precondition to the exercise of the assessing officer's jurisdiction; if consumption exceeds the prescribed threshold, no case can be booked.

SIGNIFICANCE

A frequently-cited (59×) Delhi single-judge authority on the procedural / natural-justice safeguards in Section 126 unauthorised-use (DAE) assessments: seal or glass irregularities alone cannot found a demand without consumption-pattern corroboration, and the show-cause notice must spell out the grounds. Decided on the pre-2007 Section 126 text (1.5× multiplier; 3/6-month presumption).

FLAGS

natural-justice-notice-specificity

corroboration-by-consumption-pattern (Reg 26(ii))

PRE-2007-s.126-text (1.5x; 3/6-month presumption)

DERC-Regulations-25-26

BSES-Delhi

cby-59 case the topicality filter had wrongly dropped

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